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PROJECT PROPOSAL(CY24 – BA/GM Batch)

Title of the Project : AI-Driven Transformation in Banking GRC: Implications on Human Behavioral Adaptation

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1. NEED FOR THE STUDY:

The global banking sector is undergoing a significant transformation as Artificial Intelligence (AI) and Agentic AI are increasingly integrated into Governance, Risk, and Compliance (GRC) functions. Regulatory bodies worldwide are actively shaping frameworks around AI adoption in financial services, including the Digital Operational Resilience Act (DORA) in the European Union. While AI promises enhanced efficiency in compliance monitoring, risk assessment, and regulatory reporting, there is limited empirical research examining how these technological shifts are reshaping GRC practices on the ground - and, critically, how the people working in GRC are adapting to them. This study addresses this gap by first empirically analyzing publicly available data, questionnaires, and expert interviews on AI-driven changes in banking GRC, and then deriving human behavioral adaptation implications by grounding those findings in behavioral-science literature, with workforce management as a supporting dimension.

2(a). PRIMARY OBJECTIVE:

To empirically analyze, using publicly available data, questionnaires, and industry-expert interviews, how AI is transforming Governance, Risk, and Compliance (GRC) in banking - and to derive, through behavioral-science literature, how the GRC workforce is behaviorally adapting to that transformation.

2(b). SECONDARY OBJECTIVES

(i) To identify the key AI and Agentic AI technologies adopted in banking GRC functions and quantify their adoption trends using publicly available data.

(ii) To assess how AI and Agentic AI integration is altering the operational landscape of GRC - including changes in compliance workflows, risk-assessment methodologies, governance structures, and regulatory frameworks across the global banking sector using data analysis.

(iii) To derive, through literature review and behavioral-science frameworks, the human behavioral adaptation to these AI-driven GRC shifts (trust in AI, resistance to change, decision-making dynamics, and role and skill evolution), with workforce management as a supporting, reduced-weight dimension.

3. METHODOLOGY

This study adopts a mixed-methods design: an empirical data analysis of how AI is transforming banking GRC, whose output then feeds a focused literature review to conclude on human behavioral adaptation.

a. Research Design: Mixed-methods, sequential explanatory - quantitative and qualitative empirical analysis first, followed by a behavioral-science literature review that interprets the empirical output.

b. Research Approach: Primarily inductive - deriving behavioral-adaptation conclusions from observed data patterns, then triangulating against established behavioral theory (Technology Acceptance Model, Diffusion of Innovations, Change Management).

c. Data Sources: (1) Public data - regulatory filings, DORA/FSB/Basel publications, global-bank annual reports, AI-adoption surveys, patent filings, and banking-GRC job postings; (2) Primary data - structured questionnaires to GRC practitioners and semi-structured interviews with industry experts.

d. Sampling Method: Purposive sampling of GRC professionals across risk, compliance, and governance roles in banking; snowball sampling via expert referrals for interviews; stratified by role and tenure where possible.

e. Data Collection: Online questionnaire (Likert-scale and open-ended items); recorded expert interviews; systematic extraction from public documents into a structured dataset.

f. Data Analysis Tools: Descriptive and inferential statistics (Excel/SPSS/Python) for questionnaire and adoption-trend data; thematic and sentiment analysis (NVivo/Python NLP) for interview and open-text data; cross-tabulation of adoption intensity against behavioral and skill

signals; the combined output is then interpreted through the behavioral-science literature review to conclude on human behavioral adaptation.

How the analysis derives human behavioral adaptation:
• Job-posting and skills-trend analysis (GRC roles over time) → role redefinition and reskilling as structural workforce adaptation.
• Thematic and sentiment analysis of interviews and open-ended responses → trust in AI and resistance to change (mapped to the Technology Acceptance Model).
• Likert-scale statistical analysis → quantified acceptance versus resistance, segmented by role and tenure.
• Adoption-curve analysis → practitioners' position on Rogers' innovation-adoption curve.
• Content analysis of regulatory filings and annual reports → 'human-in-the-loop' accountability norms.
• Cross-tabulation (adoption intensity × behavioral signal) → the keystone link: rising AI penetration in a GRC function corresponds to a measurable behavioral or skill response, interpreted through behavioral theory.

4. EXPECTED DELIVERABLES

• An empirical analysis report on AI adoption trends in global banking GRC
• A mapping of AI and Agentic AI technologies to specific GRC function transformations
• A derived framework linking AI-driven GRC shifts to human behavioral adaptation patterns
• Evidence-based recommendations for banks on managing the human dimension of AI integration in GRC
• Final research dissertation/report

5. REFERENCES

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6. COMPANY PROJECT- Indicate, **Yes** & Upload Company permission letter

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No

7. PROJECT PROPOSAL - GUIDE APPROVAL STATUS –Indicate, **YES/NO**: YES



(Signature of Student)